

Vertical vs. Platform 2x2

SLIBRARY 27 · SHEET 1 / 5

Industry depth vs. cross-sector reach

PROFESSIONAL DEFINITION

The Vertical-vs-Platform matrix contrasts vertical AI strategies that go deep in one industry with platform strategies that go broad across sectors, mapping industry depth against breadth of reach.

WHO DEVELOPED IT

A contemporary venture-strategy framing from the debate over how AI companies should position themselves.

WHY IT WAS DEVELOPED

It was developed to clarify a fundamental strategic choice for AI ventures: depth in a vertical or breadth as a platform.

FIGURE 1 · VERTICAL VS. PLATFORM 2x2

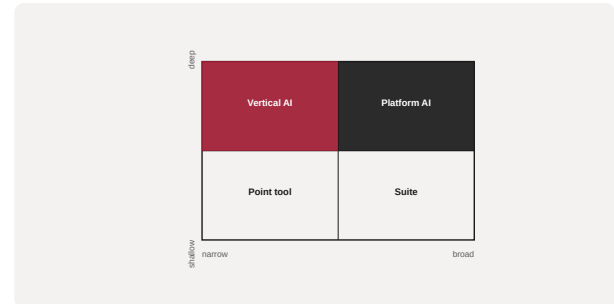


Figure 1. A schematic of the Vertical vs. Platform 2x2 as applied in BARBM312 (illustrative).

HOW IT IS USED

A venture is placed by its depth and breadth; the position implies distinct moats, go-to-market and scaling paths.

WHEN IT IS USED

When setting AI-venture strategy and positioning.

BY WHOM IT IS USED

Founders, investors and strategists.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It names the depth-versus-breadth choice central to AI-venture strategy, with different defensibility on each path.

RELATED FRAMEWORKS IN THIS COURSE

Wedge-to-Platform Path · Slibrary 27

Category Design Map · Slibrary 27

TAM-SAM-SOM Funnel · Slibrary 27

Platform vs. Pipe · Slibrary 27

SOURCES (HARVARD REFERENCING STYLE)

a16z (2023) 'The economic case for vertical AI'.

Moore, G. (1991) Crossing the Chasm. New York: HarperBusiness.